Canada Revenue Agency / Agence du revenu du Canada

Net Income (Loss) for Income Tax Purposes
(2023 and later tax years)

Schedule 1
Code 2301
Protected B when completed

Corporation's name	Business number	Tax year-end Year Month Day
		2024/12/31

- Use this schedule to reconcile the corporation's net income (loss) as reported on the financial statements and its net income (loss) for tax purposes. For more information, see Guide T4012, T2 Corporation - Income Tax Guide.
- All legislative references are to the Income Tax Act
- If you need more space, attach additional schedules.

Net income (loss) after taxes and extraordinary items from line 9999 of Schedule 125			A
Add:			
Provision for income taxes - current	101		
Provision for income taxes - deferred	102		
Interest and penalties on taxes	103		
Amortization of tangible assets	104		
Amortization of natural resource assets	105		
Amortization of intangible assets	106		
Recapture of capital cost allowance from Schedule 8	107		
Loss in equity of subsidiaries and affiliates	110		
Loss on disposal of assets	111		
Charitable donations and gifts from Schedule 2	112		
Taxable capital gains from Schedule 6	113		
Political contributions	114		
Holdbacks	115		
Deferred and prepaid expenses	116		
Depreciation in inventory - end of year	117		
Scientific research expenditures deducted per financial statements	118		
Capitalized interest	119		
Non-deductible club dues and fees	120		
Non-deductible meals and entertainment expenses x 50 %	121		
Non-deductible automobile expenses	122		
Non-deductible life insurance premiums	123		
Non-deductible company pension plans	124		
Other reserves on lines 270 and 275 from Schedule 13	125		
Reserves from financial statements - balance at the end of the year	126		
Soft costs on construction and renovation of buildings	127		
Non-deductible fines and penalties under section 67.6	128		
Income or loss for tax purposes - partnerships	129		
Amount calculated under section 34.2 - from Schedule 73	130		
Income shortfall adjustment and additional amount from Schedule 73	131		
Income or loss for tax purposes - joint ventures	132		
Amount D on page 3	199		
Total (lines 101 to 199)	500		►

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Amount A plus line 500			B
Deduct:			
Gain on disposal of assets per financial statemen	401		
Non-taxable dividends under Section 83 from Schedule 3	402		
Capital cost allowance from Schedule 8	403		
Terminal loss from Schedule 8	404		
Allowable business investment loss from Schedule 6	406		
Foreign non-business tax deduction under subsection 20(12)	407		
Holdbacks	408		
Deferred and prepaid expenses	409		
Depreciation in inventory - end of prior year	410		
SR&ED expenditures claimed in the year on line 460 from Form T661	411		
Other reserves on line 280 from Schedule 13	413		
Reserves from financial statement - balance at the beginning of the year	414		
Patronage dividend deduction from Schedule 16	416		
Contributions to deferred income plans from Schedule 15	417		
Incorporation expenses under paragraph 20(1)(b)	418		
Amount E on page 4	499		
Total (lines 401 to 499)	510	►	
Net income (loss) for income tax purposes (amount B minus line 510)			C

Enter amount C on line 300 on page 3 of the T2 return.

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Add:

Accounts payable and accruals for cash basis - closing	201	
Accounts receivable and prepaid for cash basis - opening	202	
Accrual inventory - opening	203	
Accrued dividends - prior year	204	
Capital items expensed	206	
Debt issue expense	208	
Deemed dividend income	209	
Deemed interest on loans to non-residents	210	
Deemed interest received	211	
Development expenses claimed in current year	212	
Dividend stop-loss adjustment	213	
Dividends credited to the investment account	214	
Exploration expenses claimed in current year	215	
Financing fees deducted in books	216	
Foreign accrual property income	217	
Foreign affiliate property income	218	
Foreign exchange included in retained earnings	219	
Gain on settlement of debt	220	
Interest paid on income debentures	221	
Limited partnership losses from Schedule 4	222	
Mandatory inventory adjustment - included in current year	224	
Non-deductible advertising	226	
Non-deductible interest	227	
Non-deductible legal and accounting fees	228	
Optional value of inventory - included in current year	229	
Other expenses from financial statements	230	
Recapture of SR&ED expenditures from Form T661	231	
Resource amounts deducted	232	
Restricted farm losses - current year from Schedule 4	233	
Sales tax assessments	234	
Share issue expense	235	
Write-down of capital property	236	
Amounts received in respect of qualifying environmental trust per paragraphs 12(1)(z.1) and 12(1)(z.2)	237	
Contractors' completion method adjustment: revenue net of costs on contracts under 2 years-previous year	238	
Taxable/non-deductible other comprehensive income items	239	
Book loss of joint ventures	248	
Book loss of partnerships	249	
Hybrid mismatch amount under subsection 18.4(4) or 12.7(3)	250	
Excess IFE under subsection 18.2(2) from Schedule 130	251	
Partnership IFE add-back under paragraph 12(1)(l.2) from Schedule 130	252	
Non-deductible interest under subsection 18(4)	253	
Partnership interest deduction add-back under paragraph 12(1)(l.1)	254	

Other additions:

Description 605	Amount 295
Total	► 296

Total of lines 201 to 254 and line 296 D

Enter amount D on line 199 on page 1.

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Deduct:

Accounts payable and accruals for cash basis - opening	300	
Accounts receivable and prepaid for cash basis - closing	301	
Accrual inventory - closing	302	
Accrued dividend - current year	303	
Bad debt	304	
Equity in income from subsidiaries or affiliates	306	
Exempt income under section 81	307	
Mandatory inventory adjustment - included in prior year	309	
Contributions to a qualifying environmental trust	310	
Non-Canadian advertising expenses - broadcasting	311	
Non-Canadian advertising expenses - printed materials	312	
Optional value of inventory - included in prior year	313	
Other income from financial statements	314	
Payments made for allocations in proportion to borrowing and bonus interest payments from Schedule 17	315	
Contractors' completion method adjustment: revenue net of costs on contracts under 2 years - current year	316	
Non-taxable/deductible other comprehensive income items	347	
Book income on joint venture	348	
Book income on partnership	349	
Adjustment for hybrid mismatch amount under paragraph 20(1)(yy)	350	

Resource deductions:

Canadian development expenses from Schedule 12	340	
Canadian exploration expenses from Schedule 12	341	
Canadian oil and gas property expenses from Schedule 12	342	
Depletion from Schedule 12	344	
Foreign exploration and development expenses from Schedule 12	345	

Other deductions:

Description 705	Amount 395		
Total		► 396	

Total of lines 300 to 350 and line 396 E

Enter amount E at line 499 on page 2

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